What is a RESP?

The Registered Education Savings Plan (RESP) is a tax-sheltered account designed to fund a child's post-secondary education. The federal government supercharges it with the Canada Education Savings Grant (CESG) — a guaranteed 20% return on your first $2,500 contributed per child per year. That's $500 free money, every year.

The CESG is the best guaranteed return available to any Canadian investor. $2,500 contribution → $500 CESG instantly. No stock market, no risk, no effort required. Maximize it every year from birth until the child turns 17.

CESG — Canada Education Savings Grant

CESG Rule	Detail
Grant rate	20% of your contribution — government matches $0.20 per $1.00
Annual maximum CESG	$500 per beneficiary per year (requires $2,500 contributed)
CESG lifetime maximum	$7,200 per beneficiary — once reached, no further CESG is paid for that child
Contribution for max CESG	$2,500/yr per child. Contributing more than $2,500 earns NO additional CESG
Contribution lifetime max	$50,000 per beneficiary — excess contributions = 1%/month penalty
CESG eligibility window	From birth until December 31 of the year the child turns 17
Catch-up CESG	Missed a year? Contribute up to $5,000 in one year to earn $1,000 CESG (one catch-up year at a time per child)
Canada Learning Bond (CLB)	Extra up to $2,000 for eligible low-income families — no contribution required

Tax Implications — RESP

Event	Tax Treatment	Who Pays
Contributions	Not tax-deductible. No T-slips for contributions.	N/A
Investment growth (inside)	Tax-deferred while in RESP. Compounds tax-free until withdrawal.	Nobody
CESG grant received	Not income when received. Log as Type = CESG in Transaction Log.	Nobody
EAP withdrawal (CESG + growth)	Taxable income, reported on the student's own T1 — usually near 0% tax.	Student
PSE withdrawal (contributions)	Tax-FREE — your original contributions come back with zero tax.	Nobody
RESP collapse (no school)	Growth taxed at your rate + 20% penalty. CESG is repaid to the government.	Subscriber

The biggest RESP tax advantage: investment growth that would be taxed at YOUR marginal rate is instead taxed at the STUDENT's rate — often 0% to 15% while they are in school with little other income.

Investment Strategy — RESP Glide Path

Unlike a TFSA or RRSP, the RESP has a fixed withdrawal date — when your child starts school. This means you should shift to safer investments as that date approaches.

Child's Age	Years to School	Strategy	Example ETFs
0–8 yrs	10–18 years	Aggressive growth — maximum compounding	TSE:XEQT, TSE:VGRO
9–13 yrs	5–9 years	Balanced — begin reducing risk gradually	TSE:XBAL, TSE:VBAL
14–16 yrs	2–4 years	Conservative — protect what you've built	TSE:XCNS, TSE:XBB
17+ yrs	0–1 years	Capital preservation — money needed soon	GICs, money market, T-bills

How to Log RESP Transactions in the Tracker

Transaction	Account	Type	What to Enter
Annual contribution	RESP	Contribution	Date, Amount in Col K (e.g. $2,500). No ticker needed.
Buy ETF/Stock	RESP	Buy	Ticker (TSE:XBAL), Shares, Price/Share
Sell ETF/Stock	RESP	Sell	Ticker, Shares sold, Sale price per share
Cash dividend	RESP	Dividend	Ticker (optional), dividend amount in Col K
DRIP	RESP	DRIP	Ticker, shares reinvested, Price/Share
CESG grant received	RESP	CESG	Amount received in Col K (e.g. $500). Feeds the CESG Calculator.
EAP withdrawal (school)	RESP	EAP	Amount withdrawn in Col K. Taxed in student's hands.

This guide covers the RESP Portfolio and RESP Tracker tabs, and the CESG Calculator reference included with your download. For educational purposes only. Not financial or tax advice. Always verify current RESP and CESG rules on canada.ca before making financial decisions.